Brazil Macro Monthly

Positive bias in the short term, despite global uncertainties

- Lower commodity prices should favor global disinflation, although conflicts around the Red Sea represent an upside risk. DM central banks will soon start easing monetary policy, most likely in Q2.
- In Brazil, activity indicators surprised to the upside at the end of 2023, with emphasis on the labor market and household consumption. Our projection for 2024 GDP growth – currently at 1.5% – has an upside bias. We continue to anticipate a 2.0% increase for 2025 GDP.
- We maintain our expectation of a public sector deficit of 0.6% of GDP in 2024 and 1.0% of GDP in 2025. The government will now observe whether the effects of the approved measures will be in line with the estimates before reassessing the fiscal target.
- The trade balance is expected to reach a new all-time high this year, taking the current account deficit to 1% of GDP. The robustness of the balance of payments supports our scenario of exchange rate appreciation, although external factors should continue to exert pressure in the short term. We project BRL/USD 4.70 YE 2024 and BRL/USD 4.90 YE 2025.
- Headline inflation remains benign, driven by global cost disinflation. Services prices, however, accelerated in January. For now, we keep our 2024 IPCA forecast at 3.7%, with a downward bias. We continue to anticipate 4.0% for 2025.
- Low current inflation supports further space for monetary easing, but global uncertainties and the robust labor market require caution. We project the Selic rate at 9.00% for the end of the easing cycle, in the second half of 2024.

Caio Megale
Chief Economist

Andres Pardo
Chief Latam Strategist

Rodolfo Margato
Economist

Tiago Sbardelotto
Economist

Alexandre Maluf
Economist

Francisco Nobre
Economist

Luiza Pineze
Intern

Contact
economiaxp@xpi.com.br

XP Forecasts

	2019	2020	2021	2022	2023 (F)	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	3.0	1.5	2.0
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.6	8.3	8.0
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	3.7	4.0
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	9.00	9.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.86	4.70	4.90
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.3	-0.6	-1.1
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.6	-1.0
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	74.7	77.3	79.5
Trade Balance (USD Bn)	26.5	32.4	36.4	44.2	80.5	85.5	82.0
Exports (USD Bn)	225.8	210.7	284.0	340.3	344.4	357.0	363.0
Imports (USD Bn)	199.3	178.3	247.6	296.2	263.9	271.5	281.0
Current Account (USD Bn)	-68.0	-28.2	-46.4	-48.3	-28.6	-24.5	-29.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.5	-1.3	-1.0	-1.2
FDI (USD Bn)	69.2	38.3	46.4	74.6	62.0	70.0	75.0
FDI (% GDP)	3.7	2.6	2.8	3.8	2.9	2.9	3.0
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,179	2,400	2,520
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,808	11,404	12,136

Source: IBGE, BCB, Bloomberg, XP

Foreword – No significant changes to our forecasts, but with a short term positive bias

Last month, we adjusted our scenario to incorporate additional global cost-push deflation and a larger Brazilian trade surplus. Consequently, we reduced our IPCA inflation forecast for 2024 to 3.7% and reduced our terminal Selic rate forecast to 9.00%.

This has, so far, proved a correct decision. The extension of global deflation seems to be happening, although geopolitical conflicts – reflected in higher freight costs – are a risk. Moreover, pressure on agricultural products generated by El Nino is gradually dissipating. We did not change our inflation forecasts this month, but risks are still tilted to the downside.

Positive bias also on growth. Exports and consumption have been solid, backed by ballooning mining and oil production and by strong labor income growth. We will wait for 4Q23 GDP figures early next month before adjusting our forecasts, but our 1.50% GDP growth projection for 2024 seems to have an upside risk.

Having said that, fiscal and quasi-fiscal policy will probably remain expansionary, which, along with the tight labor market, tends to keep services inflation under pressure. When goods prices stabilize, headline inflation will rise. It may happen from 2H24 onwards.

Geopolitical tensions also tend to increase in the second half of the year, as US presidential elections approach.

Thus, despite the better short-term inflation/growth tradeoff, we do not see room for the Central Bank to step up the current easing pace, nor to lower the terminal Selic rate. We also see our FX projection as balanced at 4.70 reais to the dollar at 2024 yearend.

Global backdrop – Short-term CPI to remain subdued; the Fed will cut rates soon (but not too soon)

Francisco Nobre

The latest drop in commodity prices should favor global disinflation. Commodity prices engaged in a downward trend in 4Q23, that was only partially reverted this year. It tends to be beneficial for the final stage of global consumer price disinflation. We expect short-term CPI to remain subdued in many regions, including the US, the eurozone, and Latin America.

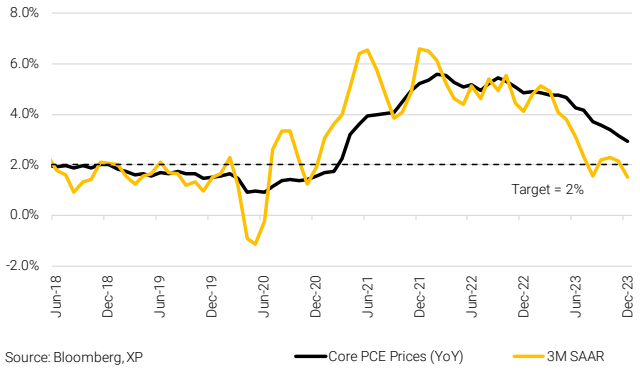
On the other hand, the recent rise in ocean freight costs represents a renewed upside risk. Mounting conflict around the Red Sea is behind the movement, and if persistent, it may reflect on higher price pressures at the margin.

FOMC´s easing cycle: not so fast. The US Fed kept its benchmark interest rates at the 5.25%-5.50% range in January and pointed out that the FOMC "has gained greater confidence that inflation is moving sustainably toward the 2% target". Still, Chairman Jerome Powell added that a March cut is "not the most likely scenario." We believe inflation will remain benign and the labor market will gradually lose steam, although this may take some time (see our recent report: "Is the US labor market entering a turning point?"). In any case, solid economic activity data in the short term (namely, the significant upside surprise in the January Nonfarm Payroll, strong 4Q23 GDP growth, and the rebound in PMI data) reinforces the view that the Fed should not be in a hurry to cut rates.

Thus, despite high market volatility since Powell´s dovish comments in December (graph), the data and overall signaling by the FOMC seems consistent with our base-case scenario that a gradual easing cycle will begin in May. We reiterate that we see the FOMC cutting rates by a total of 150 bps in 2024, implying that the Fed funds rate will end this year at 4.0%.

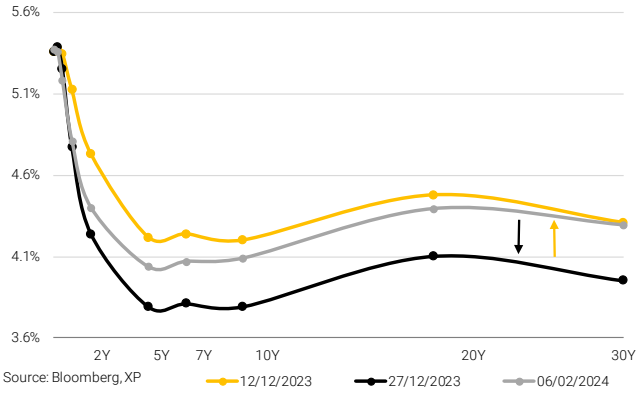
In Europe, the ECB also paves the way for rate cuts. Even though interest rates were kept unchanged at the last meeting, President Lagarde highlighted that the disinflation process is advancing, and wage growth has been moderating. The latter is considered the largest threat to the sustainable convergence of inflation to target. Meanwhile, economic activity remains weak, and GDP growth has been virtually flat over the past five quarters. These factors support monetary easing soon, although the ECB´s overall stance and guidance seem consistent with our projection of the first rate cut in June.

Core inflation in the US approaches target
Core PCE Deflator



Source: Bloomberg, XP

Market pulls back from an earlier easing cycle by the Fed
US Treasury yield per tenor

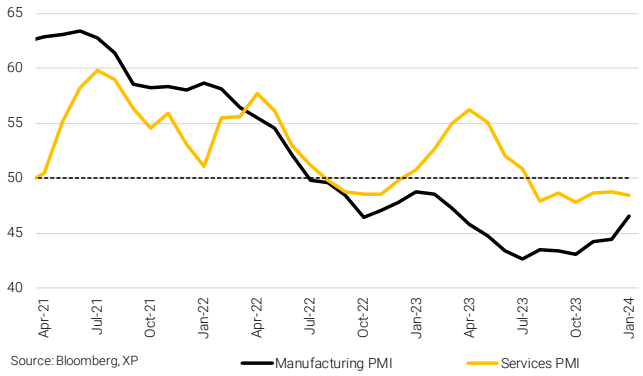


Source: Bloomberg, XP

EM economies should benefit from lower US rates, although we expect assets to remain volatile. There is a great deal of uncertainty regarding the effects of the tight US labor market on medium-term inflation. Moreover, geopolitical tensions are on the rise. Thus, long-term Treasury yields are likely to remain volatile during the early part of this year, which should be reflected on EM asset prices.

In China, additional stimulus may boost demand in the short term, although we still see weaker growth ahead. The Chinese government announced additional fiscal support in order to boost its economic recovery. The government emphasized that it would focus on sectors that support long-term development, such as education and technology. The local central bank will probably cut rates at some point ahead, particularly after the Fed and the ECB start their easing cycle. These efforts may support economic activity in the short term, although GDP growth should fall below 5% in the coming years, reducing global inflationary pressures.

Activity indicators in contractionary territory in the Eurozone
PMI (above 50: expansion; below 50: contraction)



BRAZIL – Positive bias in the short-term, despite global uncertainties

Activity – Upside bias to our 2024 GDP projection

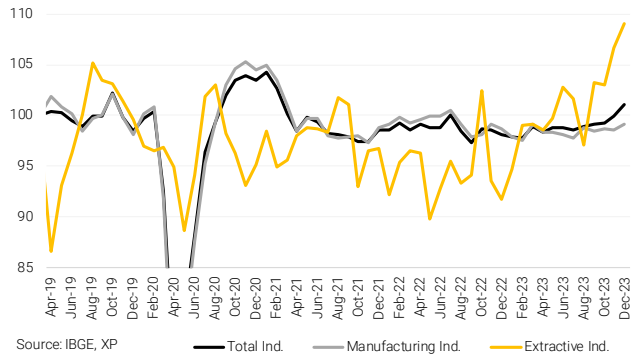
Rodolfo Margato

Activity indicators above expectation at the end of 2023. Real service revenues expanded in November, interrupting a sequence of three consecutive declines. Furthermore, retail sales recovered in the month, with a stronger-than-anticipated performance. We estimate additional increases for both indicators in December. In turn, the manufacturing sector stagnated last year, and we still do not see signs of a consistent recovery. This contrasts with the extractive industry, whose production climbed 7% in 2023.

As a result, our tracker – high-frequency estimate – for 4Q GDP indicates a slight increase of 0.1% QoQ (2.3% YoY). These numbers are consistent with a 3.0% growth in the full-year 2023, leaving a statistical carryover effect of 0.3% for this year. Official 4Q GDP results will be published on March 1st.

Risks to our 2024 GDP projection are tilted to the upside. We believe that domestic activity will gain steam in the coming months, driven mainly by consumption. This scenario reflects: (i) the soundness of the labor market, with emphasis on the recent increase in real wages; (ii) the additional injection of resources with court-ordered debt payments; (iii) the gradual improvement of credit conditions;

Total industry stagnated in 2023, despite strong growth in extractive activities
Seasonally adjusted series. Base: 2019 = 100.



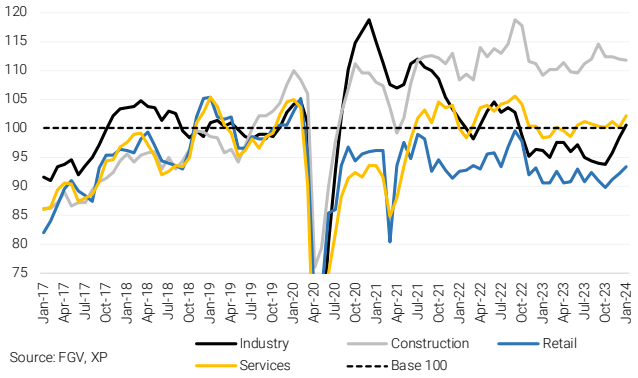
and (iv) continued disinflation. In our view, the resilience of household consumption, which is expected to grow by around 2.5% this year, will offset the low dynamism of investments in fixed assets. For an in-depth assessment on the topic, see our report *XP Macro Special: Outlook for Investments in 2024 and 2025*. Accordingly, our projection for 2024 GDP growth – currently at 1.5% – is tilted to the upside. We will await the release of 4Q GDP results to eventually promote revisions to this year's economic growth scenario. For now, we anticipate a 0.5% QoQ increase for 1Q24 GDP.

Nonetheless, we will probably see a slowdown compared to the expansion of around 3.0% recorded in the last two years. This expectation stems, to a large extent, from the lower contribution of sectors less sensitive to the economic cycle (especially agriculture). We forecast that Agriculture and Livestock GDP will fall by around 1% in 2024, after a 16% jump in 2023.

Labor market remains tight. The unemployment rate ended 2023 at around 7.5%, the lowest level since early 2015. Job creation remains strong, while the labor force participation rate is still far below pre-pandemic levels. In this context, real wages have grown sharply in recent months (accumulated expansion of 3% between September and December). As per our calculations, real household disposable income will rise by 4.2% in 2024, after having soared by 6.5% in 2023. On the one hand, this dynamic reinforces the positive outlook for internal demand; on the other hand, it raises concerns regarding inflation in the services sector (see section below on Inflation).

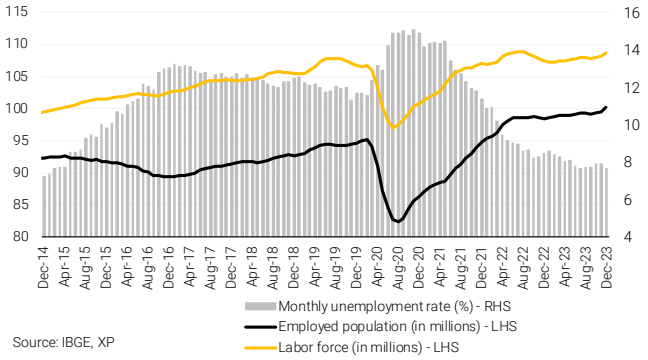
We continue to project an increase of 2.0% for 2025 GDP. The lagged effects of easing monetary policy and the recovery of the global economy should support domestic activity next year. We foresee economic growth close to potential.

Business confidence has improved in recent months
Seasonally adjusted series. Base: 2019 = 100.



Source: FGV, XP

The unemployment rate ended 2023 at the lowest level in almost nine years
Seasonally adjusted data series



Source: IBGE, XP

Public finance – Wait and see mode

Tiago Sbardelotto

As expected, 2023 registered one of the largest primary deficits in the historical series... The central government deficit reached BRL 230.5 billion (2.1% of GDP), the second worst result in the recorded series. A large part of the result can be attributed to extraordinary events, such as the payment of overdue court-ordered debts (BRL 92.4 billion). That said, excluding non-recurring factors in revenue and expenditure, we would have had a deficit of around BRL 125.0 billion (1.2% of GDP).

Revenue measures should come into effect in 2024 BRL Bn

Measure	2024 budget bill	XP forecast
ICMS subsides for investments	35.3	50.1
Online betting taxation	1.6	2.0
Simplified regime on imports	2.9	2.0
Exclusive funds taxation	13.3	15.2
Taxation of investiments abroad	7.0	7.0
Change in interest on equity (IoE) rules	10.4	2.0
Tax credits recovery on CARF	54.7	30.0
Tax transaction	43.2	0.0
Review of railway concession contracts	34.5	2.0
Transfer pricing	0.0	5.9
CEF judicial deposits	0.0	15.0
New payroll tax exemption program	-5.6	-5.6
Extinction of recreation sector tax exemption (PERSE)	6.0	6.0
Limiting tax compensations	20.0	8.0
Total	**223.4**	**139.6**

Source: 2024 budget bill, PM n. 1202/2023, XP

... and it leaves a weaker base for this year. The fiscal adjustment sought by the government depends almost exclusively on revenue performance. With weaker revenue in 2023, the government needs to make an additional effort to meet expenses (which continue to grow above inflation) and balance the budget this year.

We estimate a deficit of BRL 74.5 billion (0.6% of GDP) in 2024. The weaker tax collection last year should be neutralized by the positive effect of the limitation on tax compensation established by Provisional Measure 1,202/2023. We, therefore, maintain our deficit projection for this year.

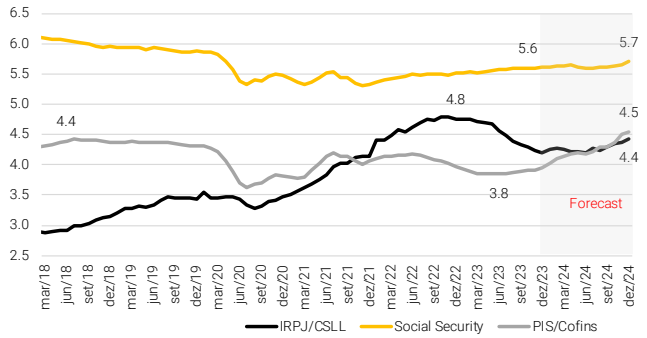
Discussions regarding 2025 are due to start soon, and new revenue measures will be needed if the government aims for a deficit close to zero. We estimate a total of BRL 62.5 billion in extraordinary revenue in 2024 that will not be repeated in 2025. On the other hand, there are additional expenses, such as the payment of court-order debt (outside the spending limit and primary balance target). Therefore, we expect a deficit of BRL 137.9 billion (1.1% of GDP), in the absence of new revenue boosting measures.

The consolidated public sector (including states, municipalities, and state-owned companies) is still in deficit. Recent increases in tax rates in some states may lead to short-term gains, but we believe that subnational governments should continue to see their public accounts under pressure this year. We forecast a consolidated public sector deficit of BRL 251.3 billion in 2023 (2.3% of GDP), BRL 68.1 billion in 2024 (0.6% of GDP) and BRL 123.7 billion (1.0% of GDP) in 2025.

Public debt maintains an upward trend, despite some moderation at the margin. We expect the general government gross debt (GGGD) to end 2023 at 74.7% of GDP (75.1% previously), up 3.1 p.p. from 2022. In the coming years, the debt should continue to grow, albeit at a more moderate pace due to the improvement in the primary balance, lower interest rates and slightly more favorable GDP growth. We therefore project that debt will reach 77.4% of GDP in 2024 (78.0% previously) and 79.6% of GDP in 2025 (80.6% previously). To stabilize public debt by the end of 2026, we calculate that it would be necessary to achieve an average surplus of 1.8% throughout the entire period.

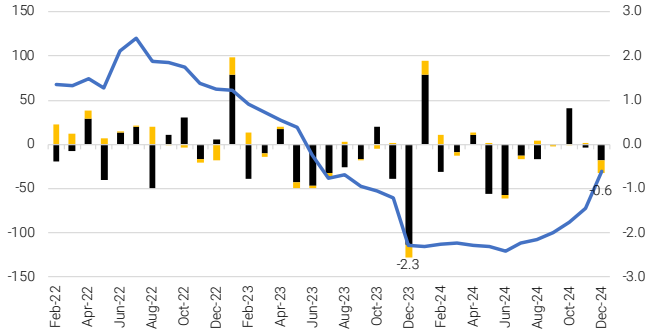
Government enters wait-and-see mode before reassessing the fiscal target. We will know the full effects of the tax collection measures by March. Therefore, the government should carefully observe whether the actual result is in line with estimates before making any decisions. We believe that tax collection should show some recovery, enabling the

Last year's approved measures should boost revenue
12M accumulated (% of GDP)



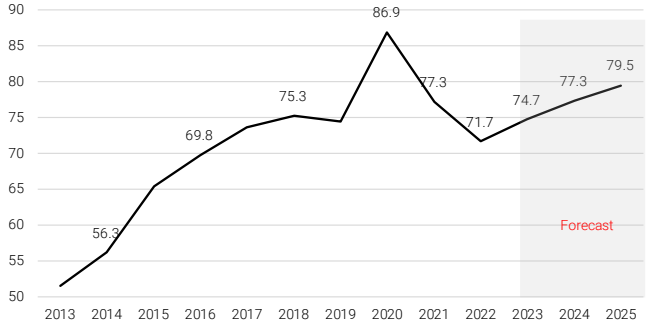
Source: RFB, XP

Deficit persists even with public sector recovery in 2024
Monthly balance (BRL billion) and 12M accum. (% GDP)



Source: BCB, XP Central gov. (LHS) Subnational gov. and SOEs (LHS) 12-month (RHS)

Public debt continues to grow in the upcoming years
General Government Gross Debt (% of GDP)



Source: BCB, XP

government to postpone the discussion about changing the fiscal target this year.

However, **our baseline scenario remains that the change in the primary balance target will be necessary** if the government wants to avoid the spending triggers that would result from failing to meet the fiscal target.

External Accounts – even stronger trade balance

Rodolfo Margato

The trade balance is expected to reach a new all-time high in 2024. Brazilian exports continue to rise, mainly driven by agricultural products and crude oil, whose share is increasing. At the same time, imports have been falling, in the wake of global cost deflation. Hence, we forecast a trade surplus of USD 85.5 billion in 2024, a new all-time high, after recording USD 80.5 billion in 2023 (BCB´s methodology). The first data available for January 2024 show a strong increase compared to January 2023.

We project that the current account deficit will narrow to 1.0% of GDP this year, well below the historical average. In addition to the prospects for an even stronger trade balance, we anticipate a virtual stability in the services deficit and a moderate increase in the primary income deficit. Thus, the current account is expected to end 2024 at -USD 24.5 billion (-1.0% of GDP), after recording -USD 28.6 billion in 2023 (-1.3% of GDP). The historical average for the Brazilian current account corresponds to around -3.0% of GDP. In turn, we expect Foreign Direct Investment (FDI) to rise from USD 61.9 billion last year (2.8% of GDP) to USD 70.0 billion in the current year (2.9% of GDP).

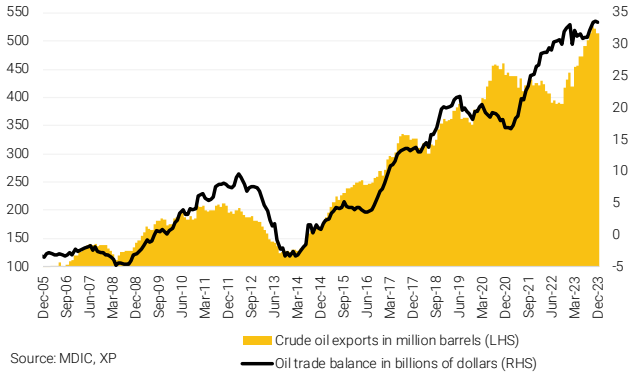
XP forecasts (US$ Bn)

Balance of Payments Accounts	2022	2023	2024	2025
Trade Balance	44.1	80.5	85.5	82.0
Exports	*340.3*	*344.4*	*357.0*	*363.0*
Imports	*296.2*	*263.9*	*271.5*	*281.0*
Services	-39.6	-37.6	-38.5	-41.5
Primary Income	-56.5	-72.4	-74.0	-72.0
Secondary Income	3.7	0.9	2.5	2.5
Current Account	**-48.2**	**-28.6**	**-24.5**	**-29.0**
Current Account (% GDP)	**-2.5**	**-1.3**	**-1.0**	**-1.2**
Foreign Direct Investment	**74.6**	**61.9**	**70.0**	**75.0**
Foreign Direct Investment (% GDP)	**3.8**	**2.8**	**2.9**	**3.0**

Source: Central Bank of Brazil, XP

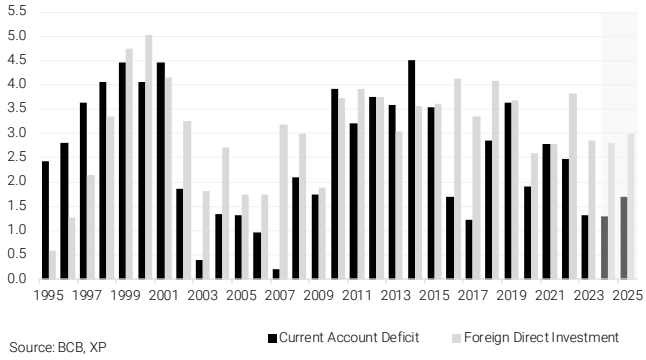
A solid balance of payments corroborates our scenario of exchange rate appreciation, but external factors should continue to add pressure in the short term. The robustness of external accounts supports our view that the exchange rate will appreciate throughout 2024. Nonetheless, the increase in geopolitical tensions – highlighted by the recent developments in the Red Sea – and growing uncertainties about the conduct of the Federal Reserve's monetary policy

Crude oil exports boost the trade balance
12M accum.



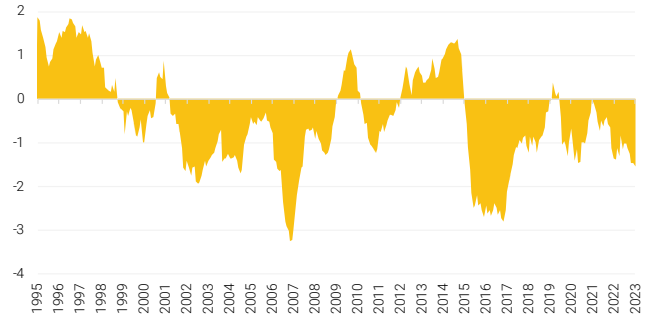
Source: MDIC, XP

Current account deficit reaches its lowest level since 2017
(% of GDP)



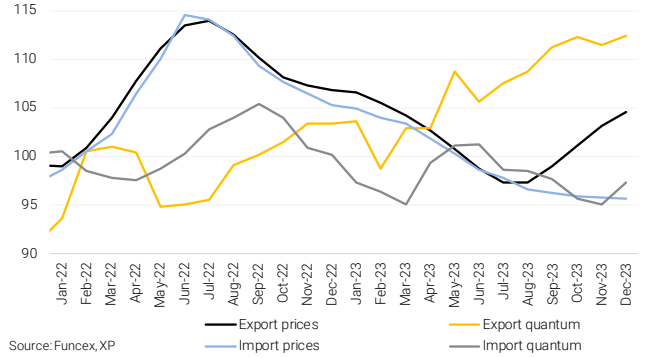
Source: BCB, XP

External sector financing needs*
12M accum. (% of GDP)



Source: BCB, XP
*External sector financing needs = current account - foreign direct investment

Recent favorable export performance will strengthen the trade balance
Price and quantum indexes, 3MMA sas. Jan22 = 100.



Source: Funcex, XP

(see section on "Global Backdrop") have strengthened the US dollar and put pressure on emerging currencies in the short term.

Despite the current higher levels, we maintain the exchange rate forecast at BRL/USD 4.70 in December, with an annual average of around BRL/USD 4.75. For 2025, in turn, we project BRL/USD 4.90 by the end of the year.

Inflation – Global cost deflation continues, while services flash yellow lights

Alexandre Maluf

The IPCA ended 2023 at 4.62%, above the inflation target of 3.25% but below the upper bound of the tolerance range (4.75%). The result was more than 100bps below 2022 (5.79%), especially due to industrialized goods disinflation (see table).

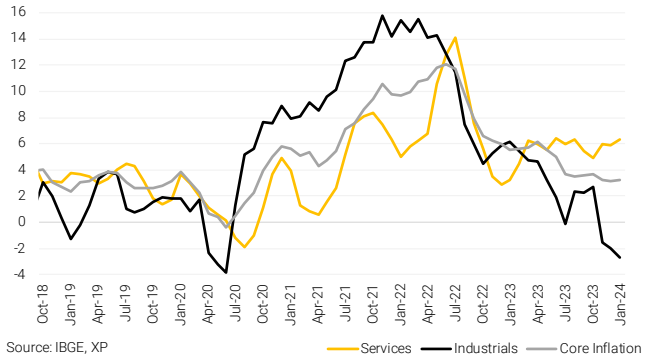
Further disinflation in 2024. The January mid-month IPCA-15 rose by 0.31% MoM, well below market expectations. The main downward surprises came from the very low variation in airfares and in the subitem 'licensing and vehicle plates', whose variation will repeat throughout the year. Industrial prices followed last year's well-behaved dynamics. On the other hand, food prices sharply rose due to the El Niño events, and service prices accelerated, probably reflecting the recent improvement in wages.

As per our estimates, services inflation will not reaccelerate throughout the year, but if it remains at higher-than-expected levels, headline inflation will struggle to converge to the 3.0% target.

We keep our 2024 IPCA forecast at 3.7%. As we mentioned above, the January IPCA-15 surprised us in airfares and license plates (-0.20 pp). However, we have raised our projections for other monitored goods. In the case of electricity, we now see higher increases at the distributors (+0.05 pp). In the same direction, we have removed from our scenario a cut in gasoline prices by Petrobras in February (+0.12 pp), which ended up having a direct impact on the price of ethanol.

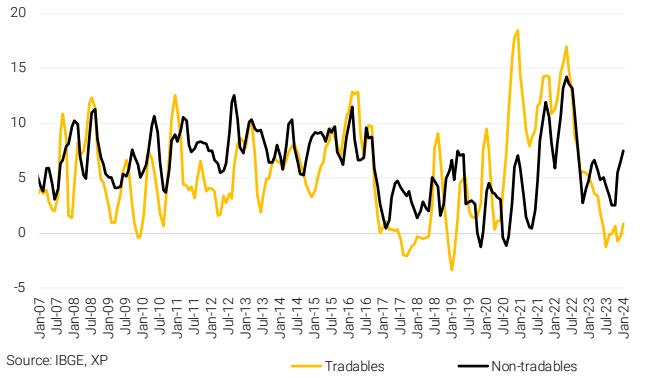
Industrial goods inflation is expected to remain low this year. We project 2.1% this year, reflecting the fall in industrial commodities in the last quarter of 2023, a trend that the January IPA-M endorsed. On the 'food at home' side, the dissipation of the effects of El Niño and a robust domestic supply of grains will continue to sustain prices at a comfortable level; we forecast 4.2% of food at home in 2024.

Further disinflation in industrial goods, while services prices remain sticky
IPCA-15, 3M SAAR (%)



Source: IBGE, XP

Current disinflation process is prominent in tradable goods
IPCA-15, 3M SAAR (%)



Source: IBGE, XP

Services inflation tends to remain pressured by heated labor market and fiscal transfers. In any case, we are confident that services figures will cool down in 2024, after ending 2023 at high levels. We project 4.1% inflation for services (6.2% in 2023) and 4.3% for underlying services (4.8% in 2023).

	Annual Change (%)		
IPCA Groups	2022	2023	2024 (F)
Monitored prices	-3.8	9.1	4.1
Market-set prices	9.3	3.1	3.5
Food at home	13.2	-0.5	4.2
Industrials	9.6	1.1	2.1
Services	7.6	6.2	4.1
IPCA	5.8	4.6	3.7

Source: IBGE, XP

We maintain our 2025 IPCA projection at 4.0%. The assumptions presented in our last monthly report regarding 2025 inflation remain the same. The expansionary bias of fiscal policy and inflation expectations above the 3.0% target for longer horizons remain an obstacle to the full convergence toward the inflation target. In addition, the current disinflation linked to accommodation goods prices may have some reversal next year, reinforcing our view of the IPCA above the 3.0% target.

Monetary Policy – 9.00% terminal rate, with balanced risks

Caio Megale

We see balanced risks for the medium-term inflation outlook in Brazil.

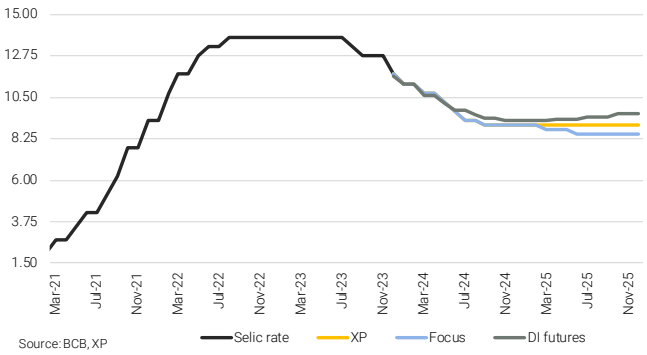
On the one hand, global cost-push disinflation continues, and should keep short-term CPI subdued in many regions and countries. Geopolitical tensions and their impact on freight costs are surely a risk, but so far, they are not strong enough to reverse goods deflation.

On the other hand, the labor market is showing mounting signs of overheating… The unemployment rate fell to its lowest level in eight years, while real earnings are on the rise. Labor-related items within the IPCA are showing early signs of additional pressure.

…and fiscal and quasi-fiscal policy have, in our view, an expansionary bias. Government expenditures grew 10% above inflation in 2023 and will increase an additional 4% this year. The primary deficit ended 2023 considerably above the government´s signaling from 6 months ago. The 2024 revenue measures approved in Congress should help reduce the gap, but uncertainties remain. Finally, the new industrial policy launched by the government promises up to BRL 300 billion in quasi-fiscal credit lines, though most of it was already in place.

In this context, the Copom should continue to gradually reduce the degree of tightness of monetary policy. In our baseline scenario, we see a terminal Selic rate of 9.0%, with four additional 50-bps cuts ahead and a final 25-bps cut in September.

We keep the 9% projection for the Selic rate in 2024 and 2025
Selic forecasts, annual (%)



Source: BCB, XP

Copom members will closely monitor inflation projections for 2025. They are already slightly above target, considering the Central Bank's Focus survey (3.5% vs. 3.0%). If the abovementioned risks materialize and inflation expectations for 2025 start to drift north, the Copom may be forced to interrupt the monetary easing cycle sooner than expected.

XP Forecasts	2019	2020	2021	2022	2023 (F)	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	3.0	1.5	2.0
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.6	8.3	8.0
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	3.7	4.0
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	9.00	9.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.86	4.70	4.90
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.3	-0.6	-1.1
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.6	-1.0
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	74.7	77.3	79.5
Trade Balance (USD Bn)	26.5	32.4	36.4	44.2	80.5	85.5	82.0
Exports (USD Bn)	225.8	210.7	284.0	340.3	344.4	357.0	363.0
Imports (USD Bn)	199.3	178.3	247.6	296.2	263.9	271.5	281.0
Current Account (USD Bn)	-68.0	-28.2	-46.4	-48.3	-28.6	-24.5	-29.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.5	-1.3	-1.0	-1.2
FDI (USD Bn)	69.2	38.3	46.4	74.6	62.0	70.0	75.0
FDI (% GDP)	3.7	2.6	2.8	3.8	2.9	2.9	3.0
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,179	2,400	2,520
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,808	11,404	12,136

Source: IBGE, BCB, Bloomberg, XP

Disclaimer

1) This report was prepared by XP Investimentos CCTVM S.A. ("XP Investimentos or XP") according to the requirements provided in CVM Resolution 20/2021 and aims to provide information that can help the investors make their own investment decisions, and does not constitute any kind of offer or purchase request and/or sale of any product. The information contained in this report is considered valid on the date of disclosure and has been obtained from public sources. XP Investimentos is not liable for any decisions made by the customer based on this report.

2) This report was prepared considering the product risk classification in order to generate allocation results for each investor profile.

3) All of the views expressed in this research report accurately reflect the research analyst's personal views regarding any and all of the subject securities or issuers. No part of analyst(s) compensation was, is or will be, directly or indirectly related to the specific recommendations or views expressed in this research report.

4) The signatory of this report declare that the recommendations reflect solely and exclusively their personal analyses and opinions, which have been produced independently, including in relation to XP Investimentos and which are subject to modifications without notice due to changes in market conditions, and that their remuneration are indirectly affected by revenue from business and financial transactions carried out by XP Investimentos.

5) The analyst responsible for the content of this report and the compliance with CVM Resolution 20/2021 is indicated above, and, in the event of an indication of another analyst in the report, the person responsible will be the first accredited analyst to be mentioned in Report.

6) XP Investimentos' analysts are obligated to comply with all the rules laid down in the APIMEC's conduct code for the securities analyst and XP Investimentos' analyst of securities conduct policy.

7) Customer service is carried out by XP Investimentos employees or by autonomous investment agents who perform their activities through XP, in accordance with CVM Resolution 16/2021, which are registered in the national association of brokers and distributors of securities ("ANCORD"). The autonomous agent of investment may not provide consulting, administration or management of customer net worth, and must act as an intermediary and request prior authorization from the client for the realization of any operation in the capital market.

8) The products presented in this report may not be suitable for all types of customer. Before making any decisions, customers should ensure that the products presented are suitable for their investor profile. This material does not suggest any change of portfolio, but only guidance on products suitable to a certain investor profile.

9) The profitability of financial products may present variations and their price or value may increase or decrease in a short period of time. Past performance is not necessarily indicative of future results. Performance disclosed is not net of any applicable taxes. The information present in this material is based on simulations and the actual results may be significantly different.

10) This report is intended exclusively for to the XP Investimentos' network, including independent XP agents and XP customers, and may also be released on XP's website. It is prohibited to reproduce or redistribute this report to any person, in whole or in part, whatever the purpose, without the prior express consent of XP Investimentos.

11) XP Investimentos' ombudsman has the mission to serve as a contact channel whenever customers who do not feel satisfied with the solutions given by the company to their problems. The contact can be made via telephone 0800 722 3710 if you are in Brazil or via ombudsman form if you are in other localities: ttps://institucional.xpi.com.br/ouvidoria.aspx/.

12) The cost of the transactions billing policies are defined in the operational cost tables which are made available on XP Investimentos website: www.xpi.com.br.

13) XP Investimentos is exempt from any liability for any damages, direct or indirect, that come from the use of this report or its contents.

14) Technical analysis and fundamental analysis follow different methodologies. Technical analysis is performed following concepts such as trends, support, resistance, candles, volume, and moving averages, amongst others. Fundamental analysis uses as information the results disseminated by the issuing companies and their projections. In this way, the opinions of fundamental analysts, who seek the best returns given the market conditions, the macroeconomic scenario and the specific events of the company and the sector, may differ from the opinions of technical analysts, which aim to Identify the most likely movements on asset prices, using "stops" limit possible losses.

15) Investment in stocks is appropriate for moderate and aggressive profile investors, according to the suitability policy practiced by XP Investimentos. Equity investments available are portion a company's capital that is traded on the market. Stock is a variable financial investment (i.e. an investment in which profitability is not pre-established and varies depending on market quotations). Investment in stock is a high-risk investment and past performance is not necessarily indicative of future results and no statement or warranty, expressed or implied, is made in this material in relation to future performance. Market conditions, macroeconomic scenario, company and sector specific events can affect investment performance and may even result in significant asset losses. The recommended duration for equity investments is medium-long term. There is no guarantee of investment return for customers' investments in stock.

16) Investment in options is preferably indicated for aggressive profile investors, according to the suitability policy practiced by XP Investimentos. In options market, the purchase or sale rights of a good shall be negotiated at a price fixed at a future date, and the purchaser of the negotiated duty should pay a premium to the seller as in a secure agreement. Operations with these derivatives are considered very high risk for presenting high risk and return relationships and some positions present the possibility of losses higher than the capital invested. The recommended duration for the investment is short-term and the customer's assets are not guaranteed in this type of product.

17) Investment in terms is indicated for aggressive profile investors, according to the suitability policy practiced by XP Investimentos. They are contracts for the purchase or sale of a certain number of shares at a fixed price for settlement within a specified period. The term of the contract is freely chosen by the investors, complying with the minimum period of 16 days and a maximum of 999 days. The price will be the value of the added share of a portion corresponding to the interest- which are set freely on the market, depending on the term of the contract. Every transaction in the term requires a guarantee deposit. These guarantees are provided in two forms: coverage or margin.

18) Investments in futures markets are subject to significant loss of principal, and are therefore appropriate for aggressive profile investors, according to the suitability policies practiced by XP Investimentos. A commodity is an object or price determinant of a future contract or other derivative instrument, which may substantiate an index, a fee, a movable value or a physical product. Commodities are considered high risk investments, which include the possibility of price fluctuation due to the use of financial leverage. The recommended duration for commodity investments is short-term and customers' assets are not guaranteed in this type of product. Market conditions and the macroeconomic scenario can affect the performance investments.

19) This institution is adhering ANBIMA Code of Regulation and best practices for the distribution activity of retail investment products.

20) XP Investments US, LLC, a broker-dealer registered with the U.S. Securities and Exchange Commission, has assumed responsibility for this research for purposes of U.S. law. All transactions arising from this research should be directed to XP Investments US, LLC, at+1 646-664-0525